

Fiscal Policy and Public Investment in Cambodia: A Policy Proposal

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Context

New tariffs imposed by the United States and renewed border conflicts with Thailand have put Cambodia under fresh economic pressure to achieve its vision of becoming a high-income nation by 2050.

Macro:

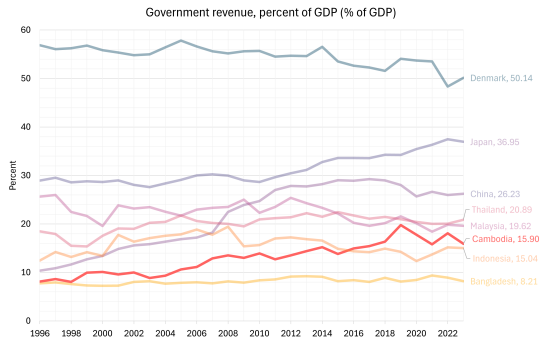
- ▶ Infrastructure deficit
- ▶ Human capital gaps
- ▶ Economic diversification
- ▶ Climate vulnerability

Micro:

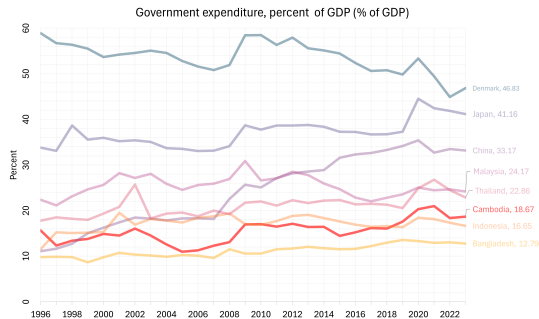
- ▶ Household welfare
- ▶ Firm productivity
- ▶ Support for MSMEs
- ▶ Consumption and savings behavior
- ▶ Access to opportunities

Amid these challenges, Cambodia faces a widening public investment gap and limited fiscal space.

Public revenue vs. expenditure



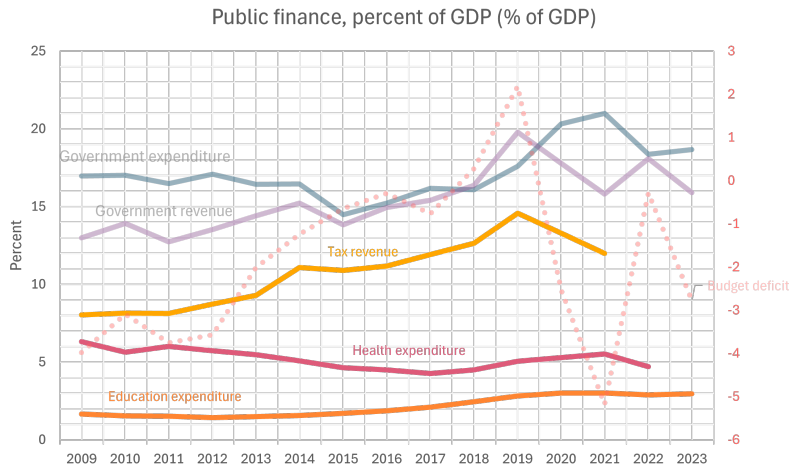
(a) Govt. revenue



(b) Govt. expenditure



Expenditure on education and health



More funding could make a crucial difference.

An overview of taxes in Cambodia

Direct Taxes

- | | |
|--|--|
| 1. Tax on Profit (Corporate Income Tax) | Levied on the profits of companies and businesses operating in Cambodia. |
| 2. Tax on Salary | Applied to individuals' income from employment, with progressive rates. |
| 3. Property Tax | Levied on the ownership of immovable property, including land and buildings. |
| 4. Tax on Property Rental | Applied to income derived from renting out property. |

Indirect Taxes

- | | |
|-------------------------------------|--|
| 5. Value Added Tax (VAT) | A consumption tax applied to the sale of goods and services at a standard rate of 10%. |
| 6. Specific Tax | Excise taxes on specific goods such as alcohol, tobacco, and petroleum products. |
| 7. Stamp Duty (Transfer Tax) | Charged on legal documents, contracts, and property transactions. |

Other Taxes

- | | |
|---|---|
| 8. Patent Tax | An annual license fee for businesses to operate legally in Cambodia. |
| 9. Accommodation Tax | Levied on hotel and lodging services. |
| 10. Tax on Means of Transportation | Applied to the ownership and use of vehicles, including cars and motorcycles. |
| 11. Public Lighting Tax | Charged to households and businesses to fund street lighting and related public services. |
| 12. Unused Land Tax | Levied on land that is left unused or idle to encourage productive use. |
| 13. Tax on Signboard | Applied to businesses for displaying signs or advertising boards. |
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Wealth and income distribution

- ▶ The top 1% of Cambodians take home **18.1%** of the national income, and the top 10% receive **45.2%** (WID 2023)
- ▶ In terms of wealth, the disparity is even more stark: the top 1% of the population own **25.3%** of the country's wealth, and the top 10%, *less than 1.7 million people*, hold nearly **60%** (WID 2023).
- ▶ While the remaining 16 million people share just 40.2% of all wealth, the bottom half of the population receives only **14.5%** of the total national income and holds a mere 4% of the wealth.
- ▶ Wealth concentration empowers large business groups, creating *barriers* that **limit small enterprises' growth and competitiveness**.

Progressive taxation

Fiscal policy as a **demand-management tool** to stabilize growth and employment without necessarily increasing inflation (Keynes, 1936; Kalecki, 1971).

► Fairness through distributional balance

- Post-Keynesians believe that a healthy economy depends on a **fair distribution of income** between capital and labor (Kalecki, 1943; Kaldor, 1955; Robinson, 1962).
- When income is concentrated in the hands of the rich (who tend to save more), **aggregate demand falls**, leading to slower growth and unemployment (Lavoie, 2014).
- Progressive taxation, where the rich pay a higher share, helps redistribute income, sustain demand, and therefore promote both fairness and stability.

► The rich have a lower marginal propensity to consume

- Richer households save a **larger portion of their income**, while poorer ones spend more (Keynes, 1936).
- Taxing the rich and redistributing income to lower- and middle-income groups **increases total spending** in the economy (Palley, 2012) — this supports output, employment, and social welfare.
- In this sense, fairness is not only **moral** but also **macroeconomically efficient**.

Progressive taxation

► Public investment and social justice

- Post-Keynesians stress that public investment (**a multiplier effect**) can crowd in **private investment and raise long-term productivity** (Kaldor, 1955, 1960; Thirlwall, 1979; Lavoie, 2014; Hein, 2014).
 - Fiscal expansion targeted at infrastructure, education, health, and technology enhances both short-run demand and long-run supply-side potential, especially in **developing economies** (Auerbach and Gorodnichenko, 2012; Batini et al., 2014).
- Since the rich benefit from stable institutions and infrastructure, they have a **social obligation** to contribute proportionally more (Tobin, 1970; Sen, 1999; Godley and Lavoie, 2007).
- Fair taxation ensures that growth benefits the many, not the few.

► Fairness as a collective responsibility

- Fairness is not just about equal treatment but about ensuring **equal opportunities and economic security** for everyone (Sen, 1999).
- Post-Keynesians argue that society functions best when fiscal policy **reduces inequality and maintains full employment** — both of which require adequate taxation from those most able to pay.

Progressive taxation

Taxation of the rich is a legitimate form of domestic resource mobilization. To start, Cambodia should focus on four types of progressive taxes:

- ① **Capital gains tax:** on profits from selling or transferring assets above their purchase price.
- ② **Personal income tax:** on individual earnings such as wages and salaries.
- ③ **Net wealth tax:** annual tax on the total value of assets minus liabilities.
- ④ **Unrealized capital gains tax:** on the increase in value of assets not yet sold.

When is the best time to implement these new taxes?

Prime Minister Hun Manet said on 29 April 2025 that the [new] government has made things more convenient for the public following the COVID-19 pandemic and has decided not to introduce any new types of taxes, aiming to keep money in the pockets of the people and the private sector. ⇒ It is possibly until 2028, there will be no new types of taxes in Cambodia.

- ▶ But how will the government get revenue? The Prime Minister said that the government would obtain revenue through bonds and credit from both domestic and external sources, such as the IMF.
 - As of the end of Q2 2025, Cambodia's total public debt stock stood at **\$12.67 billion**, of which 99% (\$12.54 billion) was public external debt—comprising 61% from bilateral development partners (DPs) and 39% from multilateral DPs—and 1% (\$128.5 million) was public domestic debt (MEF, 2025).
 - In S1 2025, the government has paid debt service in the amount of **\$296.95 million** (MEF, 2025).

When is the best time to implement these new taxes?

- ▶ There is **no perfect time** to implement them, given both internal and external challenges (e.g., institutional capacity, accountability and transparency, economic downturns from the pandemic, border conflicts, and geopolitical tensions). Nevertheless, **we must begin and prepare from now.**
- ▶ We can conduct an **assessment and trade-off analysis** by asking: Will the new system make people better or worse off in the current context? How will people respond to the government? Can we ensure that the revenue generated is used efficiently for public goods? Could the current government win the election after implementing these taxes? And many other questions we could ask.

How should it be implemented?

- ▶ The authorities must **first earn public trust**. They should provide clear information about why these taxes are being introduced, how the revenue will be used, and what taxpayers can expect in return.
- ▶ The General Department of Taxation (GDT), with its Special Tax Audit Unit and technical teams, should collaborate with other government agencies and financial institutions, both local and international, **to identify and register the top 10% of income and wealth holders** in Cambodia.
- ▶ The government can then roll out reforms step by step and implement by target groups.
- ▶ Leverage the system of rules and punishments to achieve desired outcomes.

Personal income tax

- ▶ Only **15%** (1.2 million) of formal-sector workers pay monthly salary tax, while **85%** (7.2 million) in the informal sector (ILO 2024). It is unfair that individuals who work and pay taxes receive the same benefits from public goods as those who do not contribute through taxes.
- ▶ Cambodia's salary tax, introduced in the mid-1990s, is levied on wages and salaries and easily enforced through employers, who maintain payroll records for employees.
 - By 2004, the salary tax was extended to cover both Cambodia- and foreign-source salaries, with *progressive tax brackets* ranging from **0 to 20%**, and defined exemptions and deductions.
 - **If we continue with the current system**, informal employers **must register** so they can handle payroll tax for their workers. Yet this approach is ineffective because the informal sector is valuable.
- ▶ But with a personal income tax (PIT) system, the government can collect taxes from individuals who are **not employed in the formal sector**.
 - The GDT should establish a tax registration system, in collaboration with the Ministry of Interior, using the **national identification card** number as the **taxpayer identification number** (TIN).

Personal income tax

- ▶ Tax can be collected monthly, quarterly, or annually based on income patterns.
- ▶ Taxpayers must accurately report their income using forms developed by the GDT and submit them online or on paper.
- ▶ The GDT's Department of Tax Crime Investigation needs a technical team to review records, analyze income patterns, and investigate discrepancies.
- ▶ Penalties can be implemented in two forms: **civil and criminal**.
 - Civil penalties apply to late or missing tax filings, unpaid taxes, substantial misstatements, income underreporting, or errors by tax preparers.
 - Criminal charges apply to intentional fraud or tax evasion, with penalties higher than civil ones.
- ▶ Cambodia must leverage law enforcement to build a moral society, a culture of compliance, where high penalties encourage respect for the law.
- ▶ To implement this system, the government can start with select urban economic actors, focusing on the **top 20% of earners, influencers, online sellers, and freelancers**.
 - For example, e-businesses—accounting for roughly **10–15%** of urban informal workers—earn an average of \$640 per month (Stefani, Laws, and Sollaci, 2022). Taxing them could generate approximately **\$3.2 million each month**.

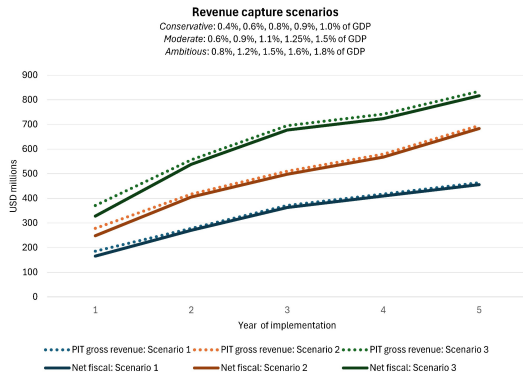
PROPOSED PERSONAL INCOME TAX PENALTIES IN CAMBODIA**Civil Penalties**

Type of Penalty	Violation Type	Description	Typical Penalties
Failure to File	Late or no return filed	Not filing your tax return by the due date (including extensions).	5% of unpaid tax per month (up to 20%).
Failure to Pay	Not paying owed taxes	You file but don't pay the tax owed by the deadline.	1% of unpaid tax per month (up to 25%).
Accuracy-Related	Underreporting income	Negligence or substantial understatement of tax liability.	15% of the underpaid tax.
Underpayment of Estimated Tax	Not paying enough quarterly	For self-employed or variable income earners.	Interest on the unpaid estimated amount (rate set by GDT quarterly).
Civil Fraud	Intentional underpayment	Fraudulently underreporting or hiding income to reduce tax.	60% of the unpaid tax due to fraud.
Return Preparer Penalty	Errors or fraud by tax preparer	If tax preparer files fraudulent or grossly incorrect returns.	\$30 to \$300 per infraction, higher for intentional violations.

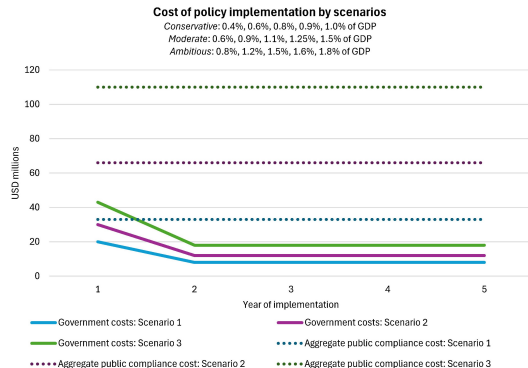
Criminal Charges (Intentional Fraud or Evasion)

Violation Type	Description	Typical Penalties
Tax Evasion	Willful attempt to avoid paying taxes (e.g., hiding income).	Up to 5 years in prison + up to \$40,000 fine (\$80,000 for businesses).
Filing False Return	Knowingly filing incorrect or false information.	Up to 3 years in prison + up to \$10,000 fine.
Failure to File Return	Willfully failing to file a return when required.	Up to 1 year in prison + up to \$5,000 fine (per year not filed).
Conspiracy to Defraud GDT	Two or more people conspiring to avoid tax payments.	Up to 5 years in prison + additional penalties.
Aiding/Assisting Fraud	Helping others file false or fraudulent returns.	Up to 3 years in prison + fine.

Personal income tax



(a) Revenue scenario



(b) Cost of implementation

Source: The author's calculations are based on Cambodia's nominal GDP in 2024 (\$46.35 billion) and international benchmarks for personal income tax administration costs in developing countries, which typically range from 0.5% to 1.5% of PIT revenue annually.

Key takeaways

A progressive tax is one possible way to generate more national revenue for public investment.

- ▶ Addressing the investment gap and institutional constraints is crucial.
- ▶ A balanced approach—expansionary but strategic and transparent—can deliver inclusive development.
- ▶ Policy success depends on strong institutions and evidence-based fiscal planning.

Thank you for your attention!

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